



The Morning Brief

MAY 2, 2026

Records, Cooled

Index closes the week at fresh highs as ISM prices paid posts the highest reading since April 2022 and the Iran-Pakistan peace channel remains unresolved into Monday's open.

S&P 500	BRENT (BNO)	BITCOIN (LIVE)	ISM PRICES PAID	FEAR & GREED
~7,187 · Fri Close · Fresh record	\$58.53 · Fri Close · Post-truce ease	~\$78,300 · Weekend bid	84.6 · Highest since Apr '22	26 · Fear

SECTION 01

Markets — Week in Review

RECORDS INTO THE WEEKEND, BUT THE INFLATION PRINT COMPLICATES THE EASING PATH

The S&P 500 closed Friday at roughly 7,187 (+0.99% on the day), capping a week that included the FOMC's 8–4 hold, four hyperscaler prints, and a CAT/QCOM-led rotation into industrials and physical-AI exposure. The principal cross-current entering Monday is the April ISM Manufacturing print: the headline read 52.7 (consensus 53.0) but the prices-paid component jumped to 84.6 versus 80.0 expected and 78.3 prior — the highest reading since April 2022 per ISM. That print, combined with the Wednesday FOMC's reportedly hawkish-tilting four-dissent block, sets a tighter rates backdrop than the equity tape currently reflects. Carson's SPY \$645.80 support remains active and well below current trading.

S&P 500	~7,187 · Fri Close · Fresh all-time high
RUSSELL 2000	\$277.97 · ↑2.16% Friday · Small-cap leadership
ISM MFG PMI	52.7 · Headline miss vs 53.0 est
ISM PRICES PAID	84.6 · Vs 80.0 est, 78.3 prior
BRENT (BNO)	\$58.53 · ↓0.48% Friday · Post-truce ease
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested · Set Apr 13

POWELL-TO-WARSH TRANSITION NOW THE CLEANEST CATALYST WINDOW

The Senate Banking Committee advanced Kevin Warsh's nomination 13–11 along party lines on April 29 per CNBC,

Washington Post, and Al Jazeera reporting, with the earliest full Senate vote scheduled the week of May 11. Powell's term as chair expires May 15, with Powell having signaled at the Wednesday FOMC press conference that he intends to remain on the Board of Governors. The combination of an 84.6 prices-paid print, an incoming chair widely characterized as more market-disciplined, and the four-dissent FOMC bloc reportedly seeking removal of the easing bias creates a rates-curve backdrop that may cap the duration-sensitive sleeves while supporting the IOWN dividend sleeve's real-asset and pricing-power orientation.

When the prices-paid component runs nearly five points hot of consensus on the same week the index posts fresh records, the tape is communicating that the inflation impulse is real and the rotation thesis remains intact. Avoid Erosion.

Geopolitics

IRAN SENDS UPDATED PEACE PROPOSAL THROUGH PAKISTAN — TRUMP PUBLICLY UNSATISFIED

Iran confirmed Friday that it has delivered an updated peace proposal to Pakistani mediators per CNN, CNBC, and OANN reporting, with President Trump telling reporters “I’m not satisfied with it, so we’ll see what happens” and indicating that Tehran’s requests include items he cannot accept. The structural sticking points remain Iran’s nuclear and ballistic programs, the status of the Strait of Hormuz, and reconstruction-and-sanctions framing per House of Commons Library characterization of the Islamabad track. A US official separately confirmed to Reuters Friday that the absence of direct US-Iran fire since the April 7 ceasefire means the 60-day War Powers clock no longer applies, removing one of the structural risk premia that supported crude through April. USO closed Friday at \$147.09 (↓2.35%) and BNO at \$58.53 (↓0.48%); CNBC reported WTI cash at \$101.94 and Brent at \$108.17 to close the week. The IOWN energy sleeve’s diversified posture — integrated (CVX, VLO), midstream (OKE), upstream (CNX, CTRA), and ag-input (NTR) — continues to provide layered exposure to a backdrop in which the truce holds but the Hormuz transit picture remains effectively impeded.

CVX Q1 ADJUSTED BEAT, DOWNSTREAM TIMING CHARGE AS DISCLOSED — REFINING THROUGHPUT AT RECORD

Chevron reported Q1 2026 adjusted EPS of \$1.41 against \$1.17 consensus per the Business Wire release and StockStory coverage, with US refinery crude unit throughput exceeding 1 million barrels per day for the fifth consecutive quarter and reaching a record in March 2026. The downstream segment swung to a reported \$817 million loss versus a \$325 million prior-year profit, a swing the company attributed primarily to approximately \$3 billion of unfavorable timing effects from rapid commodity-price increases per the prepared remarks — the same noisy-quarter framework SeekingAlpha and Benzinga flagged in the previews. The company returned \$6 billion to shareholders during the quarter and reaffirmed the structural cost-savings program targeting \$3–\$4 billion by year-end 2026. The print closed the loop on the IOWN energy reporting cohort: CAT (+9.88% Friday on the industrial-AI build read), VLO (+0.51% on refining-margin strength), CTRA (+0.64% into the Devon merger), CNX (+1.21% beat), and now CVX with timing-cleansed underlying earnings power. The integrated-energy thesis survives the timing noise.

CONSUMER STAPLES — CL AND CHD BOTH BEAT, DISPERSION NARROWS WITHIN THE DEFENSIVE SLEEVE

Colgate-Palmolive posted Q1 adjusted EPS of \$0.97 against \$0.95 consensus on revenue of \$5.32B versus \$5.20B expected per Investing.com and Yahoo Finance reporting, with organic sales up 2.9% and gross margin compressing 130 basis points to 60.6% on raw-material and packaging cost pressure. Church & Dwight reported Q1 adjusted EPS of \$0.95 against \$0.92 consensus per Motley Fool transcript coverage, with organic sales up 5.0% (well ahead of the 3.0% guidance) on 5.3% volume growth, and the company maintained full-year adjusted EPS growth guidance of 5%–8%. CL closed Friday at \$85.36 (+1.03%) and CHD at \$97.06 (+0.89%) per the data drop. Both prints validate the dividend sleeve’s pricing-power and category-share thesis — volume growth at CHD is the cleaner read into a tariff-and-input-cost environment, and Colgate’s margin slip is a flag worth monitoring against the same ISM prices-paid backdrop.

IRAN-PAKISTAN TRACK	Updated proposal sent · Trump unsatisfied
WAR POWERS	60-day clock terminated (Reuters)
OIL (CASH)	WTI ~\$102 · Brent ~\$108 · Off mid-April highs
CVX ADJ EPS	\$1.41 vs \$1.17 est · \$3B downstream timing
CL ADJ EPS	\$0.97 vs \$0.95 · Org sales ↑2.9%
CHD ADJ EPS	\$0.95 vs \$0.92 · Org sales ↑5.0%

On Our Radar

1. Week Ahead — April CPI prints Tuesday May 12 at 8:30 AM ET; Warsh Senate vote earliest the week of May 11; Powell's chair term ends May 15. The BLS schedule confirms April CPI release on Tuesday, May 12 per BLS.gov. Market-relevant content this week is concentrated in the rate-curve subtext: with ISM prices paid having jumped 6.3 percentage points to 84.6 (the highest since April 2022 per ISM), an accelerating core CPI print could reset the easing-bias debate that the four FOMC dissenters reportedly already want removed. The Powell-to-Warsh transition occurs on May 15, immediately after the CPI release per CNBC and Al Jazeera reporting. TLT closed Friday at \$85.62 (−0.09%) — the long end has barely moved despite the hawkish tilt, suggesting the rates path may be more priced than the equity tape implies. The IOWN dividend sleeve's pricing-power and real-asset orientation tends to hold up well in a backdrop of sticky inflation paired with a more market-disciplined chair. *Avoid Erosion.*

2. CTRA exits the S&P 500 Wednesday May 7 ahead of the Devon merger close — the rebalance flow is the cleanest near-term mechanic. S&P Dow Jones Indices announced after Wednesday's close that Veeva Systems will replace Coterra Energy effective prior to the open on May 7 per the official S&P announcement and Benzinga coverage, with the Devon Energy acquisition of Coterra in an all-stock \$58 billion transaction expected to close in Q2 2026 per Devon's investor materials. CTRA closed Friday at \$35.91 (+0.64%); the index-removal mechanic is likely to drive forced selling from passive S&P trackers into Tuesday's close, with the dispersion potentially providing entry levels for active managers ahead of the merger close. IOWN dividend-sleeve holders will receive Devon shares at the merger close, materially reshaping the energy sub-sleeve's composition toward Permian-focused scale exposure. *Think Like an Owner.*

3. The IOWN earnings calendar continues with a heavy slate through May.

Names that have not yet reported and remain on the docket include ABT, ADI, ATO, FAST, NEE, ORI, PCAR, STLD, TEL, AMD, AEM, COIN, EIX, FCX, FTNT, HOOD, MRVL, NXPI, OKE, SYF, TSM, TOL, and VST per the company calendars and data-drop earnings sequence. Friday's reporting cohort — CVX, CL, CHD — cleared cleanly, with all three printing adjusted-EPS beats. The dispersion question moves to the growth sleeve: AMD, MRVL, COIN, and TSM are the principal AI-and-crypto-adjacent names whose commentary will define whether the QCOM-led re-rating extends or whether NVDA's Friday 4.63% decline marks the start of more durable single-name discrimination. Apple's Thursday-after-close print — Q2 revenue of \$111.2B (+17%), services revenue at a record \$30.97B, and a \$100B incremental buyback authorization per CNBC and Variety — sets a constructive read-across for the consumer-tech complex. *Research Reveals Opportunities.*

4. The digital-asset sleeve held the bid into the weekend.

Bitcoin traded near \$78,300 Saturday morning per LatestLY and CoinDesk coverage, sustaining the recovery from the early-week pullback that pressured leveraged longs. IBIT closed Friday at \$43.32 (+1.33%) and ETHA at \$17.08 (+1.36%) per the data drop. The HUT, MARA, and CRDO crossover with AI-power infrastructure remains the cleanest digital-physical IOWN linkage; HUT's announced closing of \$3.25 billion in investment-grade senior secured notes for the River Bend Data Center per Finnhub validates the institutional-financing path for power-adjacent crypto operators, and the structure may serve as a template for the broader digital-physical sleeve. *The physical world matters.*

For internal IOWN investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. IOWN is an RIA under Paradiem.